EVERGREEN MANOR AL PAD (MEDICAL ORIENTED DISTRICT)

Town of Cortlandt, Westchester County, NY · 110 units (80 AL · 30 MC) · 6 acres · 60 min to Midtown

Recommendation: Partner role · PILOT + fee. VS Construction controls the site and Benchmark is the prospective operator, so ATCO's role is capital or GC. Fully taxed YOC is 5.84% with comp-based rents and building size; a PILOT lifts it to 6.68%, but the combined downside holds only for a tax-exempt owner.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · PILOT
$65.5M	**$26.2M · $39.3M**	**6.68%**

LEVERED IRR · LP NET	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
9.1% · 8.9%	**$10.6M**	**$3.05M**

THESIS

- **Approvability.** Town created MOD unanimously (2023) to encourage AL/IL/SNF across from NYP Hudson Valley Hospital; grew out of Envision Cortlandt plan. Opposition risk is low-medium (technical, not use).
- **Deal route.** Buy AL pad or JV with VS Construction. Developer-controlled (VS Construction); AL pad ~6 of 28 ac.
- **Need and rents.** Need 65, rent support 64 and approval 68 on a 100-point scale.
- **Returns.** 6.68% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $77.7M on trended NOI of $5.05M. Max land at the floor is $1.6M against a $8.3M basis. LP net IRR after an 8% pref and 80/20 split: 8.9%.

SOURCES AND USES

Land	$8.25M
Hard cost	$36.00M
Site work	$1.71M
Contingency	$1.89M
FF&E	$2.42M
Soft cost	$7.54M
Construction interest	$3.10M
Lease-up reserve	$4.63M
Total uses	**$65.53M**
Equity, 40% (LP 90% / GP 10%)	$26.21M
Construction loan, 60% LTC	$39.32M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	20 mo
Lease-up to stabilization	29 mo
Site control to sale	**58 mo**

TEAM

Operator, first call	Benchmark (already in)
Operator, second	None needed
General contractor	KBE Building Corporation (alternate Andron Construction)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	6.68%	4.8%	9.1%	1.41x	$10.6M
Rents −10%	5.98%	1.2%	2.4%	1.10x	$2.6M
Hard costs +10%	6.23%	2.5%	4.9%	1.21x	$5.8M
Exit cap +50 bps	6.68%	2.4%	4.7%	1.20x	$5.2M
Lease-up +6 months	6.59%	4.2%	8.0%	1.41x	$10.8M
Combined downside	**5.50%**	**-2.8%**	**-6.2%**	**0.75x**	**−$6.9M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 5.50% and the levered IRR to -6.2%, a $6.9M loss on a sale at stabilization.

STRUCTURING THE DOWNSIDE

Recommended: Fee development for a nonprofit. No ownership structure holds breakeven. It works only as fee development: a nonprofit sponsor owns it tax-exempt and keeps $3.6M of profit even in the downside, and ATCO earns about $2.9M of fees with no ownership equity.

STRUCTURE	BASE YOC	BASE PROFIT	DOWNSIDE YOC	DOWNSIDE PROFIT	BREAKEVEN?
As underwritten	6.68%	$10.6M	5.50%	−$6.9M	No
GMP contract	6.68%	$10.6M	5.77%	−$3.6M	No
GMP + ground lease	6.78%	$10.3M	5.74%	−$3.5M	No
GMP + operator master lease	6.11%	−$3.3M	5.97%	−$8.5M	No
Fee development for a nonprofit	**7.35%**	**$18.3M**	**6.43%**	**$3.6M**	**Yes**

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Special permit / conditional use; approval odds 63% (Even). In Planning Board review; hearing adjourned to 6/2026 (stormwater, fire access); NYSDOT work required.
Lease-up	29 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Recalibrated from $9,900 to $9,680 to sit at the Class A median. Cortlandt itself has no Class A product; the rate assumes Benchmark prices it like Mount Pleasant. A NIC MAP pull and a rate shop confirm before LOI.
Taxes	The return depends on a PILOT (fully taxed YOC 5.84%). Close only on a signed term sheet.

NEXT STEPS

1. Get PB outcome; approach VS Construction.
2. Gate 1 · Feasibility by month 3, $0.12M at risk. Counsel confirms the special permit / conditional use path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 6, $0.20M at risk. Staff sees a path; town supervisor and a board majority are neutral or supportive; no organized opposition after abutter meetings.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NY-03. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NY-03-proforma.xlsx